

Getting started

How much ‘pocket money’ should you live on?

The bare minimum to get by without duress.

I am not a financial planner, so I won’t suggest a percentage of your salary that it is wise to live on – only you can know that. If you want to buy a home sooner rather than later, that percentage of your salary will be low.

That said, you don’t want to be caught on a freeway with an empty tank of petrol and \$5 in your wallet, and you’ll give yourself heartburn if you run out of cash at a supermarket checkout, so be realistic, not reckless, in pursuit of that deposit.

Before you commit to the plan, carry a notepad with you for a fortnight and monitor your spending. Write down everything, from the meagre amounts, like the coins you slot in a parking meter and the dollar you tossed into the chocolate-drive box at the office, to substantial sums including groceries, bills and nights out.

Know when to loosen the purse strings

It is unrealistic to expect that additional expenses won’t arise from time to time; you can’t wear tissue boxes for shoes and a barrel with belt straps for modesty, nor hide yourself away from the world for the entire savings journey.

A new coat for winter, jeans when the seams of your old pair pop, a friend’s hens’ or bucks’ night, a milestone dinner with your beloved – all of this is allowed on the Pocket Money Savings Plan. Because you’re so disciplined week to week, you don’t need to feel guilty about occasional treats – albeit treats that are targeted, discretionary and well deserved. And the time you take to request the money from your gatekeeper will allow you to pause and reflect on whether you need it. In my experience, you will